

\$414M ARR. 52-Week Low. Same Day.

The market is pricing Itron as a hardware business. The margins it's reporting are not hardware margins.



PRIMARY SOURCE ARBITRAGE

APR 29, 2026

Itron reported 28% ARR growth and a 73% gross margin software segment in its second disclosed quarter. The stock hit a 52-week low the same day.



ITRI 1D chart, NASDAQ. Intraday range \$78.53–\$87.58 on April 28, 2026.

Source: TradingView.

On April 28, the market sold it on a Q2 EPS guide of \$1.25–\$1.35 versus \$1.52 prior year. Normalized for tax rate and interest income, the decline is approximately 8%, per CFO Joan Hooper. The gap is interest

income lost to acquisition-funded deployment into Locusview. The operating business did not weaken.

The ARR print

Annual recurring revenue ended Q1 2026 at \$414 million, up 28% year-over-year.

Tom Deitrich, CEO, same call: “\$414 million, up 28% due to strong organic growth plus our recently acquired Resiliency Solutions segment.”

Q4 2025 ARR was up 20% year-over-year. Q1 2026 stepped that to 28%, the second consecutive quarter at or above 20%.

ARR replaced endpoints under management as the primary KPI in the FY2025 10-K. Itron, FY2025 10-K: “ARR is a widely recognized indicator of long-term financial stability and growth and offers improved comparability, transparency, and insight into revenue sustainability.”

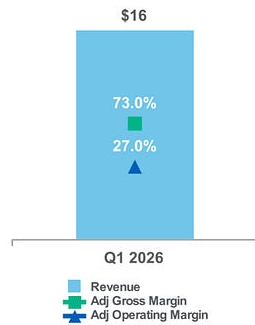
The metric was introduced two quarters ago. The third confirming print is now on the table.

Resiliency Solutions at full-quarter scale

Resiliency Solutions Segment: Q1 2026

Revenue, Adj Gross Margin, and Adj Operating Margin

\$ in millions, actual currency



Revenue was \$16 million

Adj gross margin was 73.0%

Adj operating margin was 27.0%

New segment as of 12/31/2025

- » Includes Urbint and Locusview
- » Locusview acquisition closed January 5, 2026



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Resiliency Solutions Q1 2026: \$16M revenue, 73.0% adjusted gross margin, 27.0% adjusted operating margin. Source: Itron Q1 2026 Earnings Presentation, April 28, 2026.

Resiliency Solutions reported \$16 million of revenue in Q1 2026 at 73.0% adjusted gross margin and 27.0% adjusted operating margin.

Q4 2025 was the segment's first disclosed quarter: 58 days of Urbint, \$3 million of revenue, 76.0% adjusted gross margin. Locusview closed January 5, 2026. Q1 2026 is the first full quarter with both businesses.

Revenue grew 5× from the partial-quarter print. Gross margin compressed three points and held at 73.0%.

Networked Solutions adjusted gross margin in Q1 2026: 40.8%. Outcomes: 41.7%. Resiliency Solutions: 73.0% — 31 points above the next-highest segment, in its second reported quarter.

Tom Deitrich, same call: "Vast majority recurring."

Annualized at the Q1 run-rate: \$64 million, against management's full-year 2026 segment guidance of \$65–70 million issued February 17. Tracking, not beating.

The \$16 million and 73.0% gross margin are the acquired businesses at their standalone run-rate.

Outcomes margin expansion

Outcomes Segment: Q1 2026

Revenue, Adj Gross Margin, and Adj Operating Margin

\$ in millions, actual currency



Revenue increased 22% and 20% in constant currency

» Increased recurring and services revenue

Adj gross margin increased 250 bps

» Higher margin revenue mix

Adj operating margin increased 510 bps

» Fall through of higher gross profit

» Higher operating leverage



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Outcomes Q1 2026: 22% revenue growth, 250bp adjusted gross margin expansion, 510bp adjusted operating margin expansion. Source: Itron Q1 2026 Earnings Presentation, April 28, 2026.

Outcomes revenue grew 22% year-over-year, or 20% on a constant-currency basis. Adjusted gross margin expanded 250 basis points to 41.7%. Adjusted operating margin expanded 510 basis points to 23.3%.

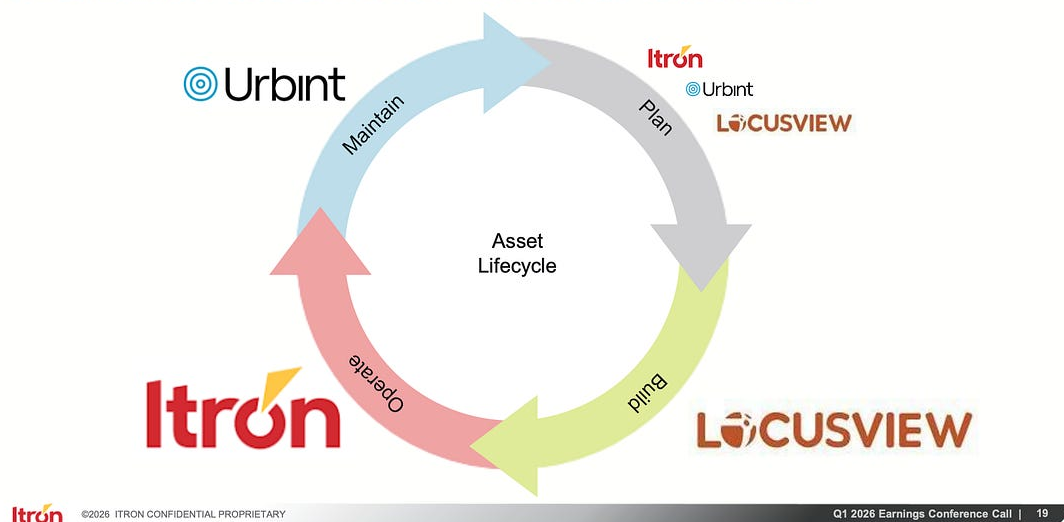
Twelve months ago, Outcomes operating margin was 18.2%. Today it is 23.3%. On 22% top-line growth.

Tom Deitrich, same call, on Outcomes recurring revenue mix: “Outcomes runs two-thirds to three-quarters recurring revenue.”

Total backlog ended Q1 at \$4.4 billion. Outcomes plus Resiliency Solutions combined: 25%, or \$1.1 billion. Deitrich: “Share is growing.”

The platform

RESILIENCY SOLUTIONS PLATFORM STRATEGY



Resiliency Solutions platform — Urbint and Locusview integrated across the asset lifecycle. Source: Itron Q1 2026 Earnings Presentation, April 28, 2026.

Urbint covers Maintain. Locusview covers Plan and Build. Itron covers Operate. The four-stage asset lifecycle is the framework a sum-of-the-parts requires.

Tom Deitrich, Q4 2025 earnings call, February 17, 2026: “Itron has 8,000 customers worldwide. Urbint and Locusview, think of it as tens of customers each. So we clearly have the ability with the sales reach that we have to move those solutions into a broader landscape.”

Two software businesses with 73%+ gross margins. Distributed through 8,000 existing utility relationships at near-zero incremental customer acquisition cost.

Joan Hooper, April 28: “The results to date have not really been any synergies per se... everything you saw in Resiliency Solutions is kind of the businesses we bought with no contribution from Itron.”

The current run-rate reflects standalone performance. The distribution layer has not been applied. The reported \$16 million and 73% gross margin are the base case. The cross-sell motion has not started.

The Q&A

Six analysts asked questions on the Q1 2026 earnings call. The questions covered: Q1 project timing acceleration and second-half revenue step-up; 2027 financial target trajectory; recurring revenue composition within the 25% backlog share; Urbint and Locusview revenue synergy progress; TTM book-to-bill and second-half risk; RPO versus gross backlog definition; gross margin mix sustainability; and Resiliency Solutions operating margin trajectory toward corporate average.

No analyst asked about organic ARR composition. No analyst asked about Resiliency Solutions sum-of-the-parts framing. No analyst asked about Investor Day timing.

On demand: “Customers need to do these things. They weren’t discretionary. It was only a question of how they would work through all of the things that were going on in the marketplace.” — Tom Deitrich, same call.

The last public statement on Investor Day timing remains Deitrich on February 17, 2026: “sometime in the next year or so.” The prior Investor

Day was announced without a pre-scheduled date and held six days after announcement. Nothing on April 28 changed that.

The selling repriced the software layer in real time. The original sum-of-the-parts framework I published in March implied 8.4× EV/ARR at \$368M ARR and \$970M net debt; both figures have since updated. At the April 28 intraday low of \$78.53, the reverse sum-of-the-parts on Q1 reported numbers (\$414M ARR, \$861M net debt) implied **5.73× EV/ARR** on the software layer. At close: **6.64×**.

IMPLIED EV/ARR — SOFTWARE LAYER			
Company	EV/ARR	ARR growth	Segment GM
Guidewire (GWRE)	~10.6×	+18–19%	67–75% Software segment
Landis+Gyr Americas/APAC continuing ops	~9.5×	Not disclosed	— Not disclosed at segment level
ITRI — close (\$87.00) Implied on software layer	~6.64×	+28%	Outcomes 41.7% Resiliency 73.0%
ITRI — intraday low (\$78.53) 52-week low, same day	~5.73×	+28%	same

Five sell-side desks cut price targets in the two weeks around the print: JPMorgan \$133→\$113 (April 16, ahead of earnings), TD Cowen \$145→\$130, Roth/MKM \$150→\$136, Baird \$128→\$118 (all April 28–29). Average revised target across seven covering analysts: \$126.

Every revised target moved down with revenue. A standalone software sum-of-the-parts framework would isolate the ARR layer from hardware revenue volatility, which is the framework's purpose. The cuts moving in tandem with revenue is the framework's absence made observable.

Landis+Gyr is the relevant hardware-to-software transition comp — same vertical, same direction of travel, same Investor Day venue for their Capital Markets Day (Nasdaq MarketSite, June 1, 2026). At Itron's

April 28 close, the implied software EV/ARR was 6.64×. Landis+Gyr trades at approximately 9.5× EV/ARR on its continuing business, a 43% premium. ARR growth not formally disclosed. Blended gross margin 33.2% per the January trading update. The slower business in the same transition trades at a material premium on every disclosed dimension.

What breaks the thesis

ARR growth decelerating below 15% YoY for two consecutive quarters triggers an exit review. Net debt above 5.0× EBITDA on any reported quarter triggers an exit review. An Investor Day delay beyond Q1 2027 extends the thesis — it does not end it.

The setup

Q1 2026: \$414 million ARR, +28% YoY. Resiliency Solutions: 73.0% adjusted gross margin, first full quarter at scale, zero cross-sell contribution. Outcomes operating margin: 510 basis points of expansion. Q2 EPS guide: headline -20% at midpoint, CFO-normalized -8%.

The Investor Day remains unscheduled. The next confirming ARR print is Q2, late July. The 52-week low was printed on the same day as a 28% ARR growth number and a 73% gross margin business in its second reported quarter.

Pushback welcome.

Disclosure: I hold a position in Itron. This material is for informational purposes only and does not constitute investment advice. All figures sourced

from Itron Q1 2026 Earnings Conference Call transcript and Earnings Presentation, April 28, 2026 — Deitrich, Hooper verbatim; Itron Q4 2025 Earnings Conference Call, February 17, 2026 — Deitrich verbatim; Itron FY2025 Form 10-K. Reverse sum-of-the-parts: shares outstanding 44.32M (DEF 14A, March 23, 2026); net debt \$861M (\$1.574B long-term debt, net less \$713M cash and equivalents per balance sheet, March 31, 2026); hardware EV imputed at $1.0 \times$ FY2025 revenue (\$2,004M) per Q1 2026 reported figures. Landis+Gyr EV/ARR: market cap CHF 1.50B $\times$ ~ 1.12 USD/CHF, net debt approximately \$225M, ARR approximately \$200M per Peter Mainz, Q3 FY2025 trading update, January 28, 2026 — Landis+Gyr Continuing. Landis+Gyr blended gross margin 33.2% per figures cited by Akash Gupta, JPMorgan, Q3 FY2025 trading update call, January 28, 2026. Guidewire EV/ARR sourced from TIKR Terminal. Stock price and volume data from Yahoo Finance and TradingView, April 28, 2026.